INVITATION HOMES INC INVH

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by ka8104

			2026	2027
Price:	30.00	EPS	20.3	2.1
Shares Out. (in M):	615	P/E	14.8	14.3
Market Cap (in $M):	18,500	P/FCF	14.8	14.3
Net Debt (in $M):	8,000	EBIT	1,560	1,625
TEV (in $M):	26,500	TEV/EBIT	6.3%	6.5%

Description

Thesis: housing and regulatory backdrop providing opportunity to buy >85K homes that are worth $43-$48 per share at large discount to ~$30 current stock price; homes are >96% occupied with low turnover; cheaper to rent than buy at a record spread; creating the assets at ~6.5% cap rate, ~200bps wide of market; stock yields 4.2% (at only a 70% payout ratio), low/well-structured leverage (33% LTV); trades ~14x forward FFO, cheap relative its own history, the REIT industry and the broader market

Background:

- Second largest single-family rental (SFR) REIT; simple business, buy homes and rent them; assets overweight to best Sun Belt and other growth markets with highest demand/job growth; also building out asset light, higher multiple third party management business plus a building contractor called ResiBuilt
- Large scale, density and cost of capital advantages vs. mom and pops who are still represent 95%+ of a fragmented, consolidating space; average new resident age of ~39 years old and average length of stay approaching four years (key tenet of SFR model is low turnover vs. high turnover experienced in multifamily/apartment assets); SFR serves the largest demographic cohort (Millennials and GenZ) at the peak of their family-formation years/looking for best school districts (vs. base multifamily/apartment renters which tend to be younger/single)
- Cost gap between current SFR lease rates and monthly mortgage payments on entry-level homes at widest levels on record (25-30% cheaper to rent vs. buy); this importantly provides a material price umbrella to raise both renewal and new rents
- Good capital allocators; assets purchased with prudent leverage; regular dispositions (and/or JV equity) recycled into higher-yielding new home acquisitions and/or accretive stock repurchases; are selling assets in the market at cap rates in the high 3s to mid 4s and reinvesting well north of 6% (unlevered) in both new homes and in their own stock buybacks

Why has stock been weak and what has changed since?

Fundamental issues:

- Stock had nice run Post-COVID benefitting from material home price appreciation as well as pricing power leading to outsized rent growth; thereafter, interest rates went up, housing slowed and similar to multifamily (and every class of real estate whenever demand and rent is strong), the industry was overbuilt
- This led to temporary oversupply issues and slowing rent growth for the last number of years; excess supply came from three areas: (i) existing homeowners who couldn't sell their homes and decided to put on the market for rent, (ii) mom and pops who overloaded on SFR acquisitions when times were good and, (iii) the emergence of a large Build-to-Rent (BTR) industry wherein homebuilders build communities/portions of communities and sell the homes in bulk to SFR owners/operators
- This supply has since largely been absorbed, most importantly from the a huge drop in new BTR supply which is down 65%+ from peak levels; key metric market follows is of course rental growth which is a function of the mix between (i) renewal lease growth for tenants staying in place and (ii) new lease growth being the rent paid by new occupants taking vacant units; renewals account for roughly 75–80% of the portfolio, providing strong forward visibility and a ballast to the rent roll
- Price power when times are tougher is higher in renewals as people don't want to/can't afford to move (especially with the current rent vs. buy spread) and given the aforementioned low turnover in the tenant base (~4 year average stay); new leases are more indicative of the current market as are priced to attract new tenants to the properties
- Blended rent growth (renewal+new) has never been negative since INVH and its bigger comp AMH have been public; outside of the COVID spike, renewal rent growth tends to be 3-5%; new leases are naturally more volatile, peaking in mid-high teens post COVID and more recently coming in modestly negative as the oversupply situation worked itself out
- Key point: new rents are the most important leading indicator (from both a fundamental standpoint and the perspective of REIT investors); this metric has not only bottomed but the second derivative has turned positive in the current core leasing season signaling that we have seen the trough in rents this cycle

Regulatory/political issues:

- On top of fundamentals slowing, the SFR sector for much of the year has been dealing with regulatory/political risks that took the market by surprise and caused further weakness in the stocks; this is now largely behind us
- Lots of details, but the core issue was the SFR industry found itself in the crosshairs of political headlines as being part of blame for the country's housing problems; the rhetoric was that big institutional Wall Street backed companies were buying up homes one by one competing with/beating people/families who wanted to

buy/live in these homes and also bidding up house prices

- This is a great headline but is untrue; yes, when this sector came into being post-GFC, they built up their portfolios by buying up what was then huge excess supply (and arguably helped the market heal); the fact is that since: (i) the institutional buyers don't buy on the MLS and thus don't compete with people/families (they have actually been net sellers of homes in the last several years) and (ii) the net growth in their portfolios have largely been bought directly from builders (BTR) or built themselves

- Institutional owners are actually a tiny part of the market; there are ~135M households in the country of which 65% are owner-occupied and 35% is owned to rent (47M); of the 47M, 2/3 are apartments leaving and only 14M as SFR; of these 14M, mom and pops own 97%, only 3% is institutionally owned (defined as owning >1K homes); as a % of total households this represents ~0.3%

- Politicians nevertheless went after institutional SFR owners with various iterations of legislation proposed ranging from limitations on what these companies can/can't do to a full ban on the business/forced liquidation; the stocks unsurprisingly sold off as the market (and especially REIT dedicated investors) were not taking the risk of this uncertainty

- After lot of back and forth, this issue is now behind us as the final negotiated bill (21 st Century ROAD to Housing Act) has been completely watered down; the punchline is from the perspective of INVH and AMH (and the other large private SFR operators), all material negative provisions have been stripped out and going forward the businesses will operate largely in the same way they have since inception; the status quo that existed before all the regulatory machinations is intact

Summary:

- Creating >85K homes in the best US markets at approaching cost basis (homes on average were bought 5-7+ years ago, were improved and have since seen 50-100%+ home price appreciation); there is a ton of great data in the supplemental disclosures, but in summary, the homes were bought on average for $225K and $35K was invested in improvements = $260K cost basis; home prices are up 50-100% on average and the company has sold homes recently at ~$425K each (sold several hundred million dollars of homes), equating to $40-$45 per share; stock is trading at 14x FFO, since inception, it traded between 21x-27x until mid-2025 and is now 2 standard deviations below this valuation range

- Multi and single-family rental properties historically the best/most stable low risk CRE asset class; they run full occupancy (>96%), renewals are very sticky and the majority of the rent roll providing ballast to earnings; these are liquid and fungible occupied assets effectively buying at 60c on the dollar (cheap create plus a valuation backstop); management strong proven capital allocators, selling assets at market (4.5% cap rates) and buying back stock at 6.5% (~$500M in the last qtr alone)

- Highly compelling risk/reward: Base case: rents modestly inflect, cap rate moves to 5.5%, implied per home value $340K = $37 stock, 27% total return (incl divs); Bull case: rents return to trend, 4.5% cap rate, implied home value back to market ~$425K = $45 stock, >50% total return; Bear case: rents reverses down again, widens to 7% cap rate, implied home value below cost basis,= $24 stock, down high teens total return

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Catalyst

- Continued positive trends in new rent growth inflection

- Housing bill is finalized and written into law

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Messages

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